INSIGNIA TECHNOLOGIES

Decentralized Predictive Modeling for On-Chain Markets

Bittensor Subnet | Multi-Layer Miner Architecture

Sovereign Infrastructure Hackathon • March 2026

WHAT WE DO

1. Our subnet leverages the Bittensor technology to profit from the best open-source trading models in the world.

2. The exciting part: miners are self-correcting and evolving. As markets change, the trading models automatically improve.

3. The biggest challenge in trading is staying ahead of a constantly dynamic market. Our subnet solves this with a self-improving performance flywheel.

HOW WE MAKE MONEY

Three Revenue Engines

Proprietary Trading

PRIMARY - DAY 1

Deploy winning model-strategy pairs. Profits distributed as dividends. More investors amplify the flywheel.

$500K

Starting Capital

Bittensor Emissions

SCALES WITH PERFORMANCE

3,600 TAO/day network. At 1% capture: 194 TAO/month to creator (18% split). At $300 = $58K/month.

194

TAO/mo (at 1%)

API Access for Holders

SELL-PRESSURE KILLER

Top alpha token holders get priority API access to best strategies. Creates hold incentive beyond speculation.

Hold → Access

Token utility

EMISSIONS ROADMAP

3,600 TAO/Day Network - Our Capture Ramp

1%
Capture Target (M12)
= 36 TAO/day

194
Creator TAO/Month
18% standard split

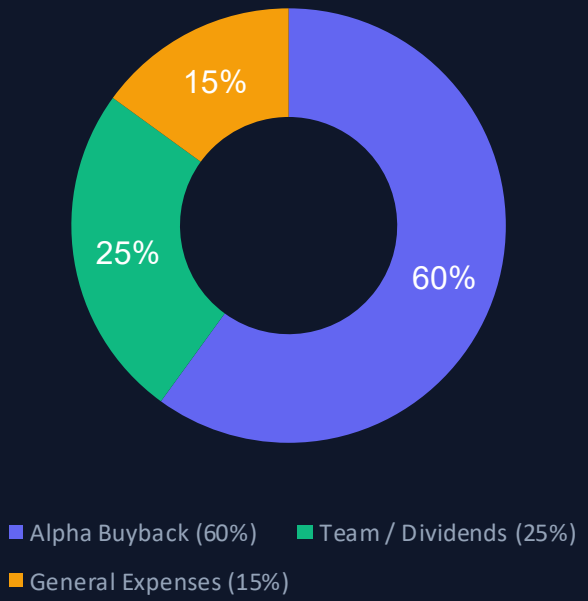
$58K
Creator USD/Month
At $300 TAO

43
Investor TAO/Month
4% of gross emissions

18% Owner	Share	TAO/Month (1%)	USD/Month
Investor	5%	43.2	$12960
Advisors (3x1%)	**3%**	32.4	$9720
Core / Treasury	11%	118.8	$35640
Miners & Validators	**82%**	886	Distributed via incentive mechanism

PROFIT ALLOCATION

Trading Profits: 60 / 25 / 15



60% Alpha Token Buyback

Most aggressive buyback of any trading subnet. Supports token price. More alpha = more emissions.

25% Team / Dividends

Founder, investors, advisors. Paid as dividends. Attracts more investors.

15% General Business Expenses

Marketing, infrastructure, compute, equipment. Attract miners and spread the word.

SELL PRESSURE

The #1 Risk - And How We Solve It

Miners earn alpha tokens and sell immediately. Every subnet faces this.
Here is how we absorb it:

1. 60% of all trading profits go to alpha buybacks - most aggressive in Bittensor
2. API access for top alpha holders creates real utility to hold, not just sell
3. Additional investors amplify the buyback flywheel over time
4. Cross-layer bonuses: models that succeed in live trading earn more future emissions
5. Treasury reserve for strategic liquidity management (held, not burned)

THE CLOSED ECONOMIC LOOP

Everything Feeds Into Everything

1. **Emissions engine**
   TAO rewards scale with subnet performance

2. **Revenue engine**
   Proprietary trading profits from deployed models

3. **Buyback engine**
   60% of profits returning to alpha token demand

4. **API engine**
   Priority access for holders creates organic demand

5. **Growth engine**
   Better performance → better miners → better models → more profits

WHAT MAKES US DIFFERENT

Versus Other Trading Subnets

	Taoshi / Vanta (SN8)	Insignia (Ours)
What they do	Crowdsource trading signals in constrained format	**Outsource best model trainers - like a real quant firm**
Simulation layer	No simulation	**Proprietary tick-data backtest + live market validation**
Revenue model	Signal aggregation + sale	**Prop trading + API for holders**
Buyback ratio	Not documented	**60% of all trading profits**
Sell pressure solution	Not addressed	**API access for holders creates hold incentive**

WHO WE SERVE

Three Markets, One Flywheel

SUPPLY SIDE — Who Builds the Models

Global Independent Quants

Every ML researcher, algorithmic trader, and quantitative developer in the world. The genius researcher in Poland or the weekend quant trader can deploy models and earn here.

DEMAND SIDE — Who Consumes the Output

Us (Prop Firm)

Primary customer from day one.
No acquisition needed.

Revenue = trading P&L

Small Quant Funds

$5M–$50M AUM. API

$5K-$10K/month

Investors

Real time monitoring
decentralized intelligence

$500-$2K/month

KEY INSIGHT

Our primary customer is ourselves. We do not need external customers to be profitable. The prop firm is the guaranteed buyer from day one. API subscribers and external investment amplifies inflows.

INCENTIVE MECHANISM

Dual-Layer Scoring + Automated Tuning

LAYER 1 - Model Scoring

7 metrics scored via Yuma Consensus:

Penalized F1 (20%)
Penalized Sharpe Ratio (20%)
Max Drawdown (15%)
Variance Score (15%)
Overfitting Penalty (15%)
Latency (10%) + Feature Efficiency (5%)

Validated against proprietary tick data miners cannot access or game.

LAYER 2 - Strategy Scoring

6 metrics on real trading outcomes:

Realized P&L (25%)
Omega Ratio (20%)
Consistency (20%)
Max Drawdown (15%) - breach = eliminated
Win Rate (10%) + Model Attribution (10%)

Cross-layer feedback: L2 results adjust L1 scores retroactively (+15% / -10%).

ATTACK RESISTANT

9 documented attack vectors analyzed and defended: overfitting, spam, plagiarism, copy-trading, single-metric gaming, data leakage, paper trading manipulation, sybil, regime exploitation.

AUTOMATED PARAMETER TUNING

41 tunable parameters across both layers. We do not tune by hand. AI agent miners (honest + adversarial bots) simulate attacks on testnet. Evolutionary optimization (NSGA-II) searches the parameter space automatically to maximize honest miner performance while minimizing attack surface.

EMISSION STRATEGY

Reverse Sigmoid Distribution

MIDPOINT

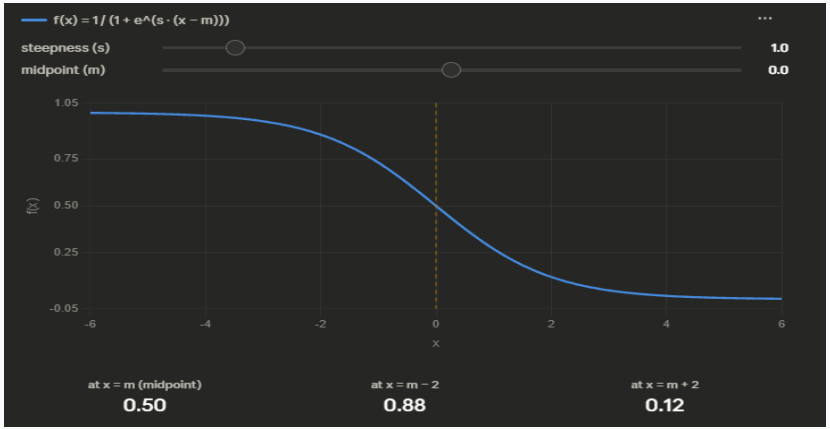
Controls how many miners get high emissions

Top basket → deployed by prop firm

STEEPNESS

Controls the drop-off gradient

Participation → attracts more miners



L1 vs L2 EMISSION SPLIT

Layer 1 — Model Builders: 60%

Layer 2 — Traders: 40%

Heavier L1 allocation because model quality is the intelligence bottleneck - without good models, no strategy succeeds.
Bonus L2 incentive: Successful traders will profit from their strategies.

ROADMAP

From Hackathon to Revenue

MAR 2026	**Hackathon Demo**	Full pipeline on testnet	**Pre-mainnet**
JUN 2026	**Mainnet Launch**	20+ miners onboarded	**0.1–0.2%**
JUL	**Layer 2 + Trading Live**	First prop deployment	**0.2–0.4%**
SEP	**Buyback Active**	100+ miners, scaling	**0.5–0.7%**
Q4 2026	**API for Holders**	Token utility live	**0.8–1.0%**
2027	**Expand + Scale**	500+ miners / Broader models	**1.0%+**